



MARKETING LABS · CUSTOMERS & LOYALTY

Customer Lifetime Value Calculator

Plan acquisition around the value of the whole customer relationship.

Interactive Customer Lifetime Value calculator for marketing and acquisition planning.

Includes: framework reference · guidance by stage · printable worksheet

Customer Lifetime Value Calculator: reference

INTERACTIVE MARKETING-MODEL PROTOTYPE

Customer Lifetime Value estimates the present value of future contribution from a customer relationship. Use it to examine whether acquisition, onboarding and retention investments can be justified over time—not simply by the first transaction.

CLV is an estimate, not a promise or a licence to overspend. Base assumptions on cohorts and representative data, separate revenue from contribution margin, include service and retention costs where material, and update forecasts when retention, pricing, market conditions or customer behaviour changes.

Lifetime-value projection

Present-value forecast for Professional subscription customers.

£539

Net CLV after CAC

PRESENT-VALUE CLV

£849

Projected contribution after service cost and discounting, before acquisition cost.

Present-value CLV less the stated acquisition cost.

CLV : CAC RATIO

2.7 : 1

The relationship covers CAC in this forecast, but assess cash payback, risk and operating costs.

CAC PAYBACK

1 years

Estimated point at which discounted cumulative contribution covers CAC.

Expected contribution by year

Each year reflects remaining customers after retention, expected annual contribution after service cost and the present-value discount factor.

EXPECTED ACTIVE CUSTOMERS

CONTRIBUTION AFTER SERVICE COST

DISCOUNT FACTOR

PRESENT VALUE

CUMULATIVE PV

Year 1

£600.00

£363.00

£324.11

Year 2

£450.00

£272.25

£217.04

£541.14

Year 3

£337.50

£204.19

£145.34

£686.48

Year 4

£253.13

£153.14

£97.32

£783.80

Year 5

£189.84

£114.86

£65.17

£848.98

£324

£217

£145

REVENUE BASIS

£600 expected annual revenue per initially acquired customer, translating to £408 gross contribution before annual service costs and £363 after them.

RETENTION SENSITIVITY

75% annual retention implies 25% annual churn. By year 5, the model expects roughly 32% of the original cohort to remain active.

ACQUISITION DECISION

CAC is repaid at approximately 1 years. Use this as a scenario estimate, then test by acquisition channel and customer cohort.

Use CLV responsibly

- Use cohort-level data. Customers acquired through different channels, plans, geographies or time periods can have very different retention, margin and service costs.
- Calculate contribution, not revenue alone. Include cost of goods or delivery, payment fees, discounts, refunds, support and retention expenditure where material.

- Distinguish observed history from forecasts. Historical CLV describes past cohorts; predictive CLV adds assumptions about future behaviour and should show uncertainty.
- Compare CLV with CAC alongside payback period, not with a universal ratio target. Working capital, gross margin, growth rate and risk tolerance differ by business.
- Do not use CLV estimates to justify manipulative retention, discriminatory pricing or excessive data collection. Design retention around genuine customer value and informed choice.
- Reforecast when pricing, product mix, retention, attribution, service costs or macro conditions change, and document the data source and calculation definition.

Customer Lifetime Value Calculator: your canvas

Print this page or fill it in by hand. The interactive lab asks the same questions.

Customer segment or cohort

For example: New customers acquired through paid search

Average order / period revenue

Enter average revenue per transaction or billing period.

Purchases / periods per year

For subscriptions, use billing periods per year.

Gross contribution margin (%)

Use a contribution-oriented margin where possible.

Annual retention rate (%)

Retention is 100% minus annual churn rate.

Customer acquisition cost (CAC)

Include attributable media, sales and onboarding costs.

Annual service / retention cost

Include support, success and retention costs where material.

Annual discount rate (%)

Discounts future contribution to today's value.

Projection horizon (years)

A longer horizon increases forecast uncertainty.

Planning aid, not advice. Test assumptions with evidence and consider privacy, accessibility, fairness and sustainability before acting.